Chapter 9
Value Added Tax

Introduction To GL Value Added Tax

To access the facilities to set up and maintain VAT details, select the GL Value Added Tax options.

Value Added Tax (VAT) is used by many countries as a tax on consumer expenditure. Its key characteristic is that the tax is imposed on all qualifying sales. Tax charged has to be accounted for to the taxation authorities and it is called output tax. The tax liability is offset by the tax on qualifying purchases, which is called input tax. The statutory requirements for the accounting of VAT vary considerably from one country to another.

The procedures described in this section are designed to meet the accounting and reporting requirements of most taxation authorities. Within the General Ledger a separate sub-system is used to hold all VAT transactions.

Every VAT transaction posted to the General Ledger, including those originating in Accounts Payable, Accounts Receivable and Cash Management, is posted to the VAT sub-system, recording goods and VAT amounts for a VAT period.

VAT postings originating in the General Ledger can only be posted via general journals, prior period journals and post to post inhibit accounts journals. They will only update the VAT subsystem if the VAT value is entered in the VAT field and they have a VAT Code And Sales Purchase flag.

VAT maintenance must, therefore, be performed before you can attempt to process VAT transactions within the General Ledger or in any external module. Codes are defined in order to post the VAT, with each three-character code linked to a specified VAT rate. In turn it can be linked to accounts set up on the General Ledger chart of accounts in order to post the VAT of transactions in and out.

You must also set up a period calendar for VAT separate to the period calendar of the General Ledger module. VAT periods must be closed and opened in a similar way to, though independently of, General Ledger accounting periods.

Note: VAT transactions update a VAT period by using the document date/tax point date on the VAT calendar. This may mean that the VAT period posted to is different to the GL period.

Codes And Rates Maintenance

1/GLV

VAT codes and rates maintained in this procedure are used in many modules and it is important that you control them rigorously.

You can maintain multiple VAT codes. For each code there may be versions, with each one controlled by an effectivity date. Each version may have a different rate and a different General Ledger account code to the previous version.

For each version, it is possible to set a number of 'switches' which set up parameters for your processing of the VAT code. These switches allow the legal requirements of different countries to be met.

Select the GL VAT maintenance option Codes And Rates Maintenance to maintain Codes and Rates, and enter a new or existing VAT code on the selection screen.

If you enter an existing code, a list of codes will appear on a new screen, and you can amend, review or delete any selected one.

New VAT Code Screen

Enter a new or existing VAT code on the selection screen to add or amend the VAT details and to add or amend the relevant GL accounts.

Select the VAT maintenance option Codes And Rates Maintenance.

```
GL162                  Y9 - Education Company - Y9     USER FFY9      27/06/95
                                                                      14:46:22
VAT Code Maintenance
                                              Effective From... 7/06/95
VAT Code . . . . . . . . . . . : STD
Long Description . . . . . . . Standard Rate
Short Description  . . . . . . Std
Rate . . . . . . . . . . . . . 17.50
                                                                 Periods
G/L Accounts                       Account Description           To Defer
Sales Account   . . ? 445710       Output VAT-Gds/Srvcs,
Purchases (Goods)   ? 445600       Input VAT-Gds/Srvcs,            __
Sales Suspense . .  ? 445700       Output VAT-Suspense,            __
Purchases (Assets)  ? 445620       Input VAT-Fixed Asst,
Purchases Suspense  ? 445680       Input VAT- Suspense,            __

VAT Discount Basis . . . . . . . 1   (1/2/3)
VAT Postable to Prior Period?    0   (0/1)
Extra Rate/Partial Rate  . . . . 0   (0/1/2)



F3=Exit  F4=Prompt             F12=Previous  F15=Extension Codes
      04-66     Sr        MW        KS        IM       II   EDN400A   PCET02S3
```

Fields:

Effective From

Enter a date from which point the VAT code will be effective.

Long Description

Enter a description for the VAT code (maximum 20 characters) to print on reports.

Short Description

Enter a description for the VAT code (maximum 8 characters) to be selected/displayed on GL screens.

Rate

Enter the VAT percentage. The maximum allowed is 99.99%.

Sales Account

Enter the sales account code of up to 12 characters in length. It must be a valid fiscal account set up on the chart of accounts. If extension codes have been set for the account you must enter them in the standard window.

The sales account holds the output VAT on sales.

Purchases (Goods)

Enter the purchases (goods) account code of up to 12 characters in length. It must be a valid fiscal account set up on the chart of accounts. If extension codes have been set for the account you must enter them in the standard window.

The purchases (goods) account holds the input VAT on purchases other than assets.

Sales Suspense

Enter the sales suspense account code of up to 12 characters in length. It must be a valid account set up on the chart of accounts. If extension codes have been set for the account you must enter them in the standard window.

The sales account is the General Ledger account to which sales VAT is posted for cash-based VAT. The VAT is transferred to the sales account in the cash allocation procedure.

Purchases (Assets)

Enter the purchases (assets) account code of up to 12 characters in length. It must be a valid fiscal account set up on the chart of accounts. If extension codes have been set for the account you must enter them in the standard window.

The purchases (assets) account holds the input values for purchases of assets. These purchases are identified because the goods distribution is to an account with a class of 01 (see Chart of Accounts Maintenance).

Purchases Suspense

Enter the purchases suspense account code of up to 12 characters in length. It must be a valid fiscal account set up on the chart of accounts. If extension codes have been set for the account you must enter them in the standard window.

The purchases suspense account is the General Ledger account to which purchase VAT is posted for cash-based VAT. The VAT is transferred to the purchase (goods) account in the payment cycle.

Periods To Defer

Enter the number of periods (if any) by which claims against the tax authorities are deferred for a purchase.

VAT Discount Basis

This field defines the way in which VAT is calculated if settlement discount is offered on an invoice. The following indicators are available:

Option 1=VAT is calculated on the goods value less any settlement discount.

For example, goods 90.00, discount 10%. VAT of 20% is calculated on 81.00=16.20.

- Total invoice value is 106.20 with 9.00 settlement discount.
- Is payable to the tax authorities regardless of whether or not discount is taken.

Option 2=VAT is calculated on the gross value of goods. Discount is deemed to apply to the total value of the invoice

For example, goods 90.00, discount 10%. VAT of 20% is calculated on 90.00=18.00.

- Total invoice value is 108.00, with 10.80 settlement discount.
- If the discount is taken, 16.20 is payable to the tax authorities.
- If it is not taken 18.00 is payable.

Option 3=VAT is calculated on the gross value of goods. Discount is deemed to apply to the goods value only.

For example, goods 90.00, discount 10%. VAT of 20% is calculated on 90.00=18.00.

- Total invoice value is 108.00, with 9.00 settlement discount.

18.00 is payable to the tax authorities regardless whether or not discount is taken.

VAT Postable To Prior Period

0 - Transactions with a tax date in a prior VAT period may be posted to the prior period.

1 - Transactions with a tax date in a prior VAT period may not be posted to the prior period.

Extra Rate/Partial Rate

The field description and the options shown here will vary depending on whether extra rate VAT and/or investment tax (Norway only) is active. Partial rate is always available. The options are as follows:

0 - You do not wish to define partial rate, extra rate or investment tax.

1 - You wish to use extra rate VAT. If a surcharge rate of VAT applies to certain customers for this VAT code. A further screen will allow entry of the surcharge percentage and GL analysis accounts.

2 - You wish to use partial rate tax. That is, VAT is only partially reclaimable for this VAT code. A further screen will allow entry of the partial rate percentage and GL analysis account.

3 - You wish to use investment tax. A further screen will allow entry of the percentage and account.

The value you enter in the Extra Rate/Partial Rate field determines which fields are displayed on the Extra Rate/Partial Rate screen.

VAT Code Maintenance Extra Rate/Partial Rate Screen

This screen allows entry of the surcharge percentage and GL analysis accounts.

To display this screen enter 1 in the Extra/Partial Rate field on the New VAT Code screen.

```
GL162                 Y9 - Education Company - Y9     USER FFY9        27/06/95
                                                                       14:47:55
VAT Code Maintenance
                                        Effective From . . 27/06/95
VAT Code . . . : STD

Input/Output Negative Switch .       (0/1)
Generate Inputs and Outputs  . 0     (0/1)
Assoc.Acquisitions VAT Code  ? ___


Reporting Currency . . . . . ? GBP











F3=Exit   F4=Prompt   F8=Update   F12=Previous
      07-33     SF         MW         KS         IM        II  EDN400A  PCET02S3
```

Fields:

Input/Output Negative Switch

0 - Accounts Receivable VAT (and other sales VAT) to be posted to the output VAT account. Or for Accounts Payable VAT (and other purchases VAT) to be posted to the input account.

1 - VAT on Accounts Receivable negative transactions to be posted to the input VAT account. Or for VAT on Accounts Payable negative transactions to be posted to the output VAT account.

Generate Inputs And Outputs

1 - Postings to this VAT code on either Accounts Payable or Receivable are to generate both input and output postings.

For example, in the UK, a supplier invoice for an imported item may not actually have any purchase VAT, yet there is a requirement to post a VAT value. This option posts that VAT value as paid.

Note: The Generate Input And Outputs function is applicable in the case of EC intra-community trading for Accounts Payable, and co-contractor VAT for Accounts Receivable.

Assoc. Acquisitions VAT Code

If Purchase Management and World Trade modules are in use, an associated acquisition VAT code should be specified for intra - community trading.

The standard logic for determining the VAT code will be followed within Purchase Management, but if the country code relationship between the supplier and the purchaser is intra - community, then the normal VAT code will be overridden, and this code will be used.

Currency/Extra %/Partial %

Reporting Currency. This refers to the currency in which the VAT reports will be produced for the Customs and Excise authorities.

Extra Rate Percentage. Enter the percentage of extra rate VAT.

Partial Rate Percentage. Enter the percentage of the VAT that can be reclaimed. For example, enter 25 if a quarter of the VAT can be reclaimed.

The appearance of this field depends on selections made on the first screen.

Extra Rate Percentage

The rate entered here is used to calculate the percentage of the VAT value calculated by the VAT rate (on the previous screen).

For example:

Assume a VAT rate on the first screen of 15%, and an extra rate of 10%. The VAT on a goods value of 100 GBP will then be 15 GBP, and the extra rate percentage, applied to the 15 GBP, will be 1.50 GBP.

The appearance of this field depends on selections made on the first screen.

Extra Rate (Basic) Account

Enter an account code of up to 12 characters in length. It must be a valid account set up on the chart of accounts. If specified for the account, extension codes must be entered through the standard window.

This is the General Ledger account to which the basic VAT rate is posted for an extra VAT customer, if different from the Sales Account.

The appearance of this field depends on selections made on the first screen

Non-reclaimable VAT Account

If the non-reclaimable element of the VAT must be analysed to a specific account, enter that account here. If left blank, the non-reclaimable element of the VAT will be absorbed into the postings generated for the goods element of the dissections

Reporting Currency

This refers to the currency in which the VAT reports will be produced for the Customs and Excise authorities.

Extra Rate (Extra) Account

Enter an account code of up to 12 characters in length. It must be a valid fiscal account set up on the chart of accounts. If extension codes have been set for the account you must enter them in the standard window.

This is the General Ledger account to which extra charge is posted for an extra VAT customer, if different from the Sales Account.

The appearance of this field depends on selections made on the first screen

Reporting Currency

Enter the reporting currency.

Having completed entries for the creation of a VAT code, press **F8=Update** to accept your entries.

Calendar

2/GLV

VAT accounting periods are normally different to General Ledger periods. There can be up to twelve VAT periods per year. The number to be used is defined on the company profile. When you post a transaction the date of that transaction is taken for the posting of the VAT element and set against the appropriate VAT period. However, if the corresponding VAT period has been closed, the VAT will be posted to the current VAT period in the VAT sub-system.

This procedure creates and maintains the VAT calendar for this company.

Note: VAT periods are maintained in the General Ledger company profile.

Select Calendar, the VAT maintenance option.

Set Up VAT Calendar Screen

A VAT calendar displays, with the period numbers determined by the number of VAT periods per year. Where no dates have been entered they are held as 999999.

Page up and down to display further details.

```
GL170               Y9 - Education Company - Y9     USER FFY9       27/06/95
                                                                    14:44:31
Set Up VAT Calendar

            VAT             Start              End          Final
            Period          Date               Date         Report
            01 1994         █99999             999999
            02 1994         999999             999999
            03 1994         999999             999999
            04 1994         999999             999999
            05 1994         999999             999999
            06 1994         999999             999999
            07 1994         999999             999999
            08 1994         999999             999999
            09 1994         010994             300994          1
            10 1994         011094             311094
            11 1994         011194             301194
            12 1994         011294             311294
            01 1995         010195             310195
            02 1995         010295             280295
            03 1995         010395             310395
            04 1995         010495             300495

F3=Exit    F8=Update
      07-30      SA        MW         KS         IM         II   EDN400A  PCET02S3
```

Fields:

Start Date

Set up the calendar by entering a start date and end date for each period. The start date must follow on immediately from the end date of the previous period.

End Date

Set up the calendar by entering a start date and end date for each period. The start date must follow on immediately from the end date of the previous period.

Final Report

The Final Report flag indicates whether or not the final VAT report for the period has been prepared. It cannot be amended.

Note: The VAT Period Close procedure, will close the current VAT period and open the next VAT period. We normally recommend that you run the VAT Period Close and the Final Report at the same time.

Registers Maintenance

3/GLV

Warning. VAT Registers are used in Italy. This procedure may only be used if the Country Code on the company profile is set to Italy.

Each VAT transaction is put in a register and is allocated a protocol number within the register. This data is used in the production of Italian statutory reports.

Select the GL VAT option Registers Maintenance to maintain Registers.

There are six types of register defined to the system against which validations will be made when registers are maintained. The types are:

1 - Sales.

2 - Purchases.

3 - Suspended sales.

4 - Suspended purchases.

5 - Scorporo.

6 - Ventilation.

- Sales transactions are posted to a Sales register of type 1, and purchases to a Purchase register of type 2.
- If VAT payments are suspended until an invoice is paid, Suspended Sales and Suspended Purchases registers are used. These registers are types 3 and 4 respectively. Once payments are received and VAT is liable, a transaction will be written to registers of types 1 or 2. For the Suspended Sales and Suspended Purchases registers, these are defined as the target registers.
- When a Suspended Sales register is being maintained, a target register must be specified with the number of a Sales register of type 1. A target register of an incorrect type is not allowed.
- A Scorporo register is used for petty cash sales only.
- Type 6 registers are not used.

Registers may be amended or deleted by entering the line number of the pertinent register. To add a new register enter the following fields:

Fields:

Register

Enter the number and description of the register to be maintained. The number must be between 1 and 99, and the description may be up to 30 characters in length.

Type

Enter the type of the register. The types valid range from 1 to 6.

Target Register

Enter the number of the register to which transaction values will be sent from this register. If this register is of types 1 or 2, a target register is not valid and no entry should be made here.

If the register is type 3, the target register must be type 1.

If the register is type 4, the target register must be type 2.

Last Protocol Number Used

This is the last protocol number recorded against this register. Maintenance is optional.

Last Date Used

This is the last date that a protocol number was recorded against this register. Maintenance of it is optional.

Printed Sequence Number

This is the sequence number of the last statutory report produced for this register. Maintenance is optional.

Last Date Printed

This is the date that a statutory report was last printed for this register. It may be amended and is optional.

Press **Enter** to accept the details. The changes, or a new register, will appear on the screen.

Note: If the last protocol number used is modified, you can remove or create protocol gaps.

Protocol Gaps Maintenance

1... 2... **4/GLV**

A sequential number is allocated to each transaction posted to a register. This is called a protocol number. Protocol numbers normally run from 1 onwards, adding 1 as each transaction is processed. However, gaps may occur in the sequence of protocol numbers, where the sequence breaks down owing to a transaction being deleted.

You cannot review the protocol gaps. However, if you run the Protocol Gaps option a list of protocol numbers in the gaps is generated. In the Accounts Payable and Accounts Receivable posting routines, you can view a window which shows the numbers. You can select one of the numbers, which will be allocated to the transaction instead of the next sequential number, thereby filling the gaps.

Select Protocol Gaps Maintenance (VAT). A window appears asking you to enter **F8=Update** and set a batch job running.

Period/Code Enquiry

31/GLV

This enquiry enables you to view VAT balances for a selected period. For each of your VAT codes the input, output and net balances are listed with values for goods and VAT. Totals for the period are included.

Select the General Ledger Value Added Tax option Period/Code Enquiry.

Enter the period number on which the enquiry is to be made.

Press **Enter** to display the VAT Enquiry screen.

```
GL063              Z1 - GB Demonstration Company    USER GBJBA1MS   13/05/98
                                                                     8:14:26
VAT Enquiry

VAT period  . . . 9702     From 21 March     1997 to 30 June      1997

Code  Description            Goods             VAT
000   ZERO        Inputs        15853.04-             .00
                  Outputs     1106935.08              .00
                  Net         1091082.04              .00
001   STANDARD    Inputs        10117.07-          635.01-
                  Outputs     7600659.13        1330032.78
                  Net         7590542.06        1329397.77
002   Std VAT     Inputs             .00              .00
                  Outputs           80.67           15.23
                  Net               80.67           15.23            +

Period totals     Inputs        26288.17-          652.51-
                  Outputs     8944185.98        1373225.25
                  Net         8917897.81        1372572.74


F3=Exit

MA     a                                                         05/020
```

Change the displayed values by deleting the period displayed and entering a new period.

Select Exit to return to menu.

Period And Final VAT Reports

Two reports are available:

- Period Report.
- Final Report,

Period Report

41/GLV

This procedure allows you to print a Period Report for any VAT period, in a summary or a detailed form.

Select the General Ledger Value Added Tax option Period Report to display the period report selection screen.

Fields:

VAT Period Range

Enter the VAT period(s) for which you want the report generated. They must be on the VAT calendar.

If you require a single period the periods must be the same.

You can enter a range of VAT periods only if the final reports for those periods have been produced.

Do You Want A Detailed VAT Report?

0 - To print summary values only.

Tip: The final report is always in summary form.

1 - To print all transactions for the selected periods.

Note: If a detailed report is requested, every VAT transaction is listed - Output (Sales) are kept separate from Input (Purchases) - with sub-totals for each tax code. Pending VAT transactions (transactions posted for cash-based VAT) are printed in separate columns.

Press **Enter** to submit a batch job to generate the report.

Final Report

42/GLV

The Final Report should only be run once a period. This report sets a final report flag. It is recommended that the VAT Period End is run at the same time.

Once printed:

- The transactions on the Final Report are flagged as having been printed.
- The period number on the VAT calendar is flagged as printed.

Select the Final Report (General Ledger VAT) option to run the report from the menu. The following field displays:

Fields:

VAT Period

Enter the VAT period number for which a report is to be generated.

Warning: The following warning messages may appear:
The final report has already been generated for this period.
The final report has not been generated for a preceding period.

Press **Enter** to submit a batch job to generate the report.

VAT Reconciliation By GL Account Report

43/GLV

To use this option you must have the VAT Reconciliation By GL Account flag set in country-specific parameters.

- This report prints GL accounts and their relevant VAT codes. Input accounts are listed first, then output accounts.
- Alongside each account and VAT code, the VAT code rate applicable at the end date of the selected period is included.
- For each account the report accumulates posted values from the start of year up to, but excluding, the selected period - accumulating the period posted values. This value is printed, with its calculated VAT, in the first two columns.
- The second two columns holds the selected period's posted value and calculated VAT.
- The third two columns give the sum of the first and second - that is, the cumulative posted value up to and including the specified period.
- The final page is a summary of totals for each VAT code, which can be used to reconcile to the actual postings on the VAT accounts.

The exception report prints discrepancies between the total VAT held for input accounts and for output accounts, and those calculated from the corresponding discount and analysis accounts.

If the discrepancy is greater than the VAT error limit on the GL company profile, it is printed.

VAT In Other Modules

This section summarises the relationship between the VAT sub-system and other modules. These modules include:

- Sales Order Processing.
- Accounts Receivable.
- Purchase Management.
- Accounts Payable.
- Cash Management.
- General Ledger.
- World Trade.

Full details of VAT processing within these modules are provided in the relevant product information.

Here follows a synopsis of the modules:

Sales Order Processing

Invoices And Credit Notes

A VAT code is determined for each line based on customer and supplier information according to the rules of the VAT code. General Ledger postings are made to the appropriate accounts and a VAT transaction is created.

Accounts Receivable

Company Profile

Defines the default VAT code and whether tax liability occurs on the transaction date or on cash receipt. (if cash-basis VAT is active).

Customer Masters

The company default VAT code may be amended for a given customer.

Invoices And Credit Notes

VAT amounts are determined according to the rules of the VAT code you have entered. General Ledger postings are made to the appropriate accounts and a VAT transaction is created.

Cash Allocation

If cash based VAT is active, the VAT liability occurs when the invoice (or credit note) is fully or partially paid. In this case, cash allocation updates the VAT sub-system.

Purchase Management

Order Entry

VAT codes are entered at line level for memo purposes only. They default to the VAT code entered on the supplier record in Accounts Payable.

Invoice Matching

VAT codes may be amended when performing invoice matching. The new VAT code is stored as part of the General Ledger distribution.

Accounts Payable

Company Profile

Defines the default VAT code, and whether VAT liability occurs on the transaction date or on cash payment. (if cash-basis VAT is active).

Supplier Masters

You can amend the company default VAT code for a given supplier.

Invoices And Credit Notes

VAT amounts are determined according to the rules of the VAT code you have entered. General Ledger postings are made to the appropriate accounts and a VAT transaction is created.

Payments

If cash-based VAT is active, the VAT liability occurs when the invoice (or credit note) is fully or partially paid. In this case, payments updates the VAT sub-system.

Cash Management

Miscellaneous Creditor Payments

VAT amounts are determined according to the rules of the VAT code. General Ledger postings are made to the appropriate accounts and a VAT transaction is created.

Cash Journals

If applicable, VAT amounts are determined according to the rules of the VAT code. General Ledger postings are made to the appropriate accounts and a VAT transaction is created.

Cancelled Transactions

VAT transactions created by the cancelled transaction are reversed.

General Ledger (Other Than VAT Subsystem)

Company Profile

A tolerance limit is set for the difference between an entered VAT value and a calculated value. This value is used for validation purposes in the posting programs.

Journal Posting

VAT amounts are determined according to the rules of the VAT code. General Ledger postings are made to the appropriate accounts and a VAT transaction is created.

Miscellaneous Creditor Payments

VAT amounts are determined according to the rules of the VAT code. General Ledger postings are made to the appropriate accounts and a VAT transaction is created.

Miscellaneous Creditor Cancellations

VAT transactions which have already been created can be reversed.

Note: VAT Postings originating in the General Ledger can only be posted via General Journals, Prior Period Journals and Post to Post Inhibited Account Journals. They will only update the VAT subsystem if the VAT value is entered on the VAT field, and they have a VAT code and sales/purchase flag

World Trade

Item Masters

The VAT code used when selling an item in any country you have entered can be defined for any inventory item. This enhances the function already described.

Invoicing

When World Trade is attached, the invoicing of Sales Order Processing is enhanced to determine the VAT code based on the location of the despatching stockroom and customer delivery point.

Invoice Matching

When World Trade is attached, the invoice matching in Purchase Management is enhanced to suggest VAT codes based on the location of the supplier despatch point and the receiving stockroom.

Accruals

The VAT tax point for movement of goods between EC countries can be based on the date of the movement, not the date of the invoice. This option posts amounts to the VAT sub-system for transactions where the movement has occurred, but no invoice has been posted.

Posting Periods

When a VAT transaction is posted, it is normally posted into the VAT period in which the tax date falls, or into the current VAT period if the transaction falls into an earlier period. There are two exceptions to this rule:

- If prior period posting is allowed, VAT will be posted to the period of the tax date as long as it is on the calendar file. If the final report has been produced, a flag will be set so that the final report can be run again.
- Payment or reclamation of VAT may be deferred for a number of periods. If so, the period number is first calculated from the VAT calendar, and then incremented by the number of periods to be deferred.

Bear in mind that for cash based VAT, only the cash payments/receipts update the VAT accounts in the General Ledger. The original transactions will have only updated the VAT suspense accounts.

It should also be noted that VAT transactions update the VAT period by using the document date/tax point date and relating it to the VAT calendar. As such, this may mean that the VAT period posted to is different to the GL period.